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NexaCore Technologies, Inc. — Annual Report — Fiscal Year Ended January 25, 2026

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> Note: **NexaCore Technologies** uses a 52/53 week fiscal year ending on the last Sunday of January. "Fiscal Year 2025" (FY2025) ended January 25, 2026.

Letter to Shareholders

By Sarah Chen, Chief Executive Officer

Dear Shareholders,

FY2025 delivered **$61.2B in revenue (+107%)**, **$22.1B in net income**, and **$8.84 in diluted EPS**. Our Data Center segment alone ($48.1B) exceeded our total FY2024 revenue of $29.5B.

Free cash flow of **$19.0B** funded a **$12B share buyback program**, initiated this year, as well as **$3.1B in capital expenditures** and the initiation of a quarterly dividend. We ended the year with $26.3B in cash and $3.5B in debt.

China declined to **8% of revenue** as we anticipated, following the US export restrictions that took effect in Q2. Revenue from the rest of the world more than made up the difference.

NexaCore is the defining infrastructure company of the AI era. Our job is to earn that position every quarter, through product leadership, supply chain discipline, and an uncompromising commitment to our customers.

Sarah Chen Chief Executive Officer

(Source: NexaCore FY2025 Annual Report, Letter to Shareholders)

Business Overview

Products and Technology

NexaCore X2 Accelerator

The X2 (160 GB HBM3e, 2.4× X1 performance) was the primary revenue driver through H1 FY2025.

NexaCore X3 Accelerator

Announced in Q3 FY2025 with production beginning in H2 FY2025, the **NexaCore X3 Accelerator** delivers **3.1× the performance of X2** and carries **192 GB of HBM4 memory**.

CloudMax C2 Series

Launched in FY2025, the **CloudMax C2 Series** provides **2× the inference throughput** of C1.

NexaOS DataBridge

NexaOS DataBridge, the integrated DataSync platform, has been adopted by **850+ enterprise customers**.

NexaOS Cloud API (Beta)

In response to **QuantumCloud**, the managed inference service announced by QuantumEdge, NexaCore released the **NexaOS Cloud API** in beta during FY2025.

(Source: NexaCore FY2025 Annual Report, Products and Technology)

Market Position

Company	AI Training Accelerator Share
NexaCore	~72%
QuantumEdge	~18%
AMD, Google TPU, Amazon Trainium, others	~10% combined

Manufacturing and Supply Chain

SilicaFab Dependence

SilicaFab, based in Hsinchu, Taiwan, fabricates **100% of X2 and X3** chips. The agreement runs through **December 2027**. This **single-foundry exposure** is our largest operational risk.

Project Diversify

NexaCore has begun evaluating a secondary manufacturing partner in South Korea under the project name **"Project Diversify."**

Capacity Reservation Fees

NexaCore paid SilicaFab **$4.8B in capacity reservation fees in FY2025**, up from **$1.9B in FY2024**.

HBM4 Allocation

For X3, **HB Memory Corp** has agreed to supply **60%** of our HBM4 allocation and **ShinKwang Electronics 40%**.

(Source: NexaCore FY2025 Annual Report, Manufacturing and Supply Chain)

Competition

QuantumEdge's QE-Pro is competitive in inference but lags X2 and X3 in training. QuantumEdge's FY2025 revenue was $28.3B versus NexaCore's $61.2B. AMD Instinct is gaining traction in open-source AI workloads.

Employees

NexaCore had **18,500 employees** at the end of FY2025 (15,800 in FY2024; 12,400 in FY2023). Our R&D workforce grew **28% to 11,200 engineers**. Attrition was **11%**, above our 8% target. Compensation benchmarking is ongoing.

Financial Results — Fiscal Year 2025

Revenue

Total revenue was **$61.2B**, up **107%** from $29.5B.

Region	FY2025 %	FY2025 Revenue	FY2024 %	FY2024 Revenue
Americas	45%	$27.5B	42%	$12.4B
Asia-Pacific (excl. China)	35%	$21.4B	28%	$8.3B
China	8%	$4.9B	20%	$5.9B
Europe	12%	$7.3B	10%	$3.0B

China revenue was 8% of total ($4.9B), down from $5.9B in FY2024 in absolute terms because of export restrictions, even as total company revenue more than doubled.

(Source: NexaCore FY2025 Annual Report, Management Discussion and Analysis — Revenue)

Segment Revenue

Segment	FY2025 Revenue	FY2024 Revenue	Growth
Data Center	$48.1B	$21.4B	+125%
Automotive AI	$5.8B	$3.6B	+61%
Edge Computing	$4.9B	$3.2B	+53%
Other (incl. software)	$2.4B	$1.3B	+85%
Total	**$61.2B**	**$29.5B**	**+107%**

Data Center is **78.6%** of total revenue.

Gross Margin

Gross profit was **$46.5B**, a gross margin of **76.0%** (71.9% in FY2024; 68.3% in FY2023). Drivers: **X3 premium pricing**, **NexaOS DataBridge software margin of 89%**, and favorable product mix.

Operating Results

Metric	FY2025	FY2024	FY2023
Operating Income	$24.8B	$11.1B	$4.4B
Operating Margin	40.5%	37.6%	31.0%
R&D Expense	$9.4B	$4.9B	$2.8B
R&D % of Revenue	15.4%	16.6%	19.7%
Net Income	$22.1B	$9.8B	$4.1B
EPS (diluted)	$8.84	$3.91	$1.64
CapEx	$3.1B	$1.4B	$0.8B
Free Cash Flow	$19.0B	$8.4B	$3.3B

R&D at NexaCore is a **competitive moat investment**, not a discretionary expense. Absolute R&D spend has more than tripled since FY2023 while R&D intensity as a share of revenue has eased from 19.7% to 15.4%.

Capital Allocation

- **$12.0B share buyback program** (initiated FY2025)
- **$3.1B CapEx** (data centers, test equipment, SilicaFab capacity investment)
- **$0.4B dividends**: the first quarterly dividend of **$0.16/share** was paid in Q4 FY2025
- Balance sheet: **$26.3B cash**, **$3.5B debt**, **net cash $22.8B**

EPS Bridge

Diluted EPS of **$8.84** compares with $3.91 in FY2024 (**+126%**). Net income grew 125% ($9.8B to $22.1B); diluted shares were 2.50B versus 2.51B, so buybacks fully offset equity issuance.

(Source: NexaCore FY2025 Annual Report, Management Discussion and Analysis)

Risk Factors

Manufacturing Concentration Risk (PRIMARY RISK)

Taiwan Concentration

SilicaFab in Hsinchu, Taiwan manufactures **100% of NexaCore's X-series products**. Cross-strait geopolitical tensions have elevated in FY2025. A disruption lasting **60 days** would eliminate approximately **$10B of quarterly revenue**.

SilicaFab Agreement Terms

The SilicaFab contract runs through **December 2027**. NexaCore has no contractual flexibility to shift production; it is commercially and contractually SilicaFab-dependent.

Mitigation: Project Diversify

Project Diversify is evaluating a Korean secondary site with an estimated **24-month lead time**.

(Source: NexaCore FY2025 Annual Report, Risk Factors — Manufacturing Concentration Risk)

Export Control Risk

China Revenue Impact

US EAR Part 744 restrictions, effective Q2 FY2025, prohibit export of X2-equivalent and above chips to China without a specific license. NexaCore obtained licenses for certain research institutions, but commercial sales were curtailed. **China revenue fell from 20% ($5.9B) in FY2024 to 8% ($4.9B) in FY2025.**

Regulatory Timeline

Future restrictions may apply to additional regions or expand to **X3-class** chips.

Customer Concentration Risk

Top 3 Data Center Customers

The top 3 Data Center customers accounted for **58% of Data Center revenue ($27.9B)** in FY2025 (up from 52% in FY2024). Contracts are purchase-order based, not long-term commitments. A delay by any one customer would materially reduce revenue.

HBM4 Memory Supply Risk

Allocation Constraint

X3 requires HBM4, available only from HB Memory Corp and ShinKwang Electronics. Industry-wide HBM4 capacity is constrained. **QuantumEdge** is competing for the same allocation; any reduction would reduce X3 volumes.

Competition Risk

QuantumEdge QE-Ultra

QuantumEdge's QE-Pro and the upcoming **QE-Ultra** (announced FY2025, shipping FY2026) are the primary threat. **AMD Instinct MI400** is expected in FY2026.

In-House Silicon

Google, Amazon, and Microsoft continue to develop internal alternatives. If proprietary TPUs gain wider adoption, NexaCore's Data Center market share could decline from 72%.

Talent and Attrition Risk

Engineering Retention

Attrition was **11% versus an 8% target**. Loss of key chip architects would delay **X4** development (targeted FY2027). Compensation expense is growing faster than revenue.

Litigation and Regulatory

IP Litigation

QuantumEdge filed patent infringement claims against NexaCore in **September 2025** relating to HBM memory controller architecture. NexaCore believes the claims are without merit.

Antitrust Inquiry

The **US Department of Justice** issued a civil investigative demand in **October 2025** regarding NexaCore's market share in AI training accelerators. NexaCore is cooperating.

Export Control Compliance

NexaCore maintains an EAR compliance program and has identified no violations. Ongoing monitoring is required as regulations evolve.

(Source: NexaCore FY2025 Annual Report, Legal Proceedings)

Outlook

FY2026 guidance:

Metric	Guidance
Revenue	$85–95B
Gross Margin	76–78%
X3 ramp	Full production in H1 FY2026
NexaOS DataBridge (standalone)	$4B+

(Source: NexaCore FY2025 Annual Report, Outlook)